



“India has completely transformed in a decade... [it] probably has the highest number of AI engineers today in the world compared to anywhere else”

STEPHANIE BUCKNER
COO, ALTAIR



“Invest from the problem-solution point of view over whether we should back/build a Gen AI company or not. If Gen AI is the best fit to build the solution, then we back it, if AI is, then we back that”

PREETI N. SAMPAT
PARTNER, EXIMIUS VENTURES

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has recalibrated since its 2021 peak, says the latest Bessemer report, titled ‘The Rise of Cloud AI in India 2024’. While funding levels have moderated from the high of \$6 billion in 2021, there are signs of a recovery. In 2024, venture funding is set to exceed the 2023 figures by 25%, with nearly \$1 billion flowing into Indian start-ups. AI-focussed companies will capture a chunk of this, with around

\$175 million being invested in such start-ups in 2023.

But most investments are in the pre-seed or seed stage, say industry watchers. SaaS firm Unicommerce launched an IPO in August. Sridhar Vembu, CEO of Chennai-based SaaS firm Zoho Corporation, tells *BT* that in the last two years, there was only one IPO globally for a SaaS company. “We’re currently in an AI bubble,” he cautions. “Every SaaS

company is jumping into AI,” he says, suggesting investor pressure could be a driving force.

THE MONEY FLOW

VCs are known to invest in trends, but Sampat of Eximius Ventures notes that investment models have evolved significantly since 2021. Emerging trends like AI and Gen AI have transformed the SaaS landscape, rendering some previously growing companies redundant while accelerating the growth of others. Consequently, VCs are adopting a more cautious approach.

“VCs are focussing on fast-moving firms that are likely to quickly reach valuations of \$100 million to \$500 million. SaaS, as a model, will continue to exist and thrive, but there will be more emphasis on AI. Companies building AI-first models are likely to receive more funding,” says Avinash Raghava, Founding Volunteer and CEO at SaaSBoomi. Kushagra Gupta, Partner at global strategy and consulting firm McKinsey & Company, says that while there has been a decline in investments into SaaS firms in 2023, dry powder for SaaS investments in India and globally has seen a 15-20% increase, signalling openness to invest in “well-performing assets”.

Manav Garg, who founded SaaS firm Eka Software Solutions that was acquired by US-based private equity fund STG earlier this year, says within sectoral allocations, the SaaS or global B2B sector has received the most funding over the past two to three years. “Series A and Series B funding in sectors like SaaS or B2B tends to decline compared to consumer brands due to the longer time required to achieve product-market fit. Typically, it takes about a year for a SaaS or B2B company to reach early product-market fit,” explains Garg, also